



[Weekly Market Commentary](#)

Dear clients,

Some relief in bitcoin's supply overhang alongside shifts in the US political landscape have allowed the token to catch up to the sharp USD devaluation in July, with the multilateral DXY index down over 2% MTD. (Bitcoin is often valued in USD, so it tends to benefit from a weaker USD.) But Mt. Gox repayments remain a source of pressure, following the distribution of around 50k BTC to exchanges since July 5th. That may help explain why bitcoin's market depth on our exchange has seen a higher imbalance between bids and asks recently. More specifically, we have seen an increase in the amount of total sell orders placed within 5-10% of the mid price.

Meanwhile, the US election cycle has been a driver for crypto and equity markets earlier than we anticipated, with prediction markets like Polymarket now favoring a victory for former President Donald Trump. This has prompted market players to parse the implications of a potential Republican administration, which could represent a meaningful shift in the regulatory landscape, given Trump's support for the asset class as well as potentially more accommodative economic policies. Trump's recently announced vice-presidential candidate, Senator J.D. Vance from Ohio, also appears to be pro-crypto.

Finally, US spot bitcoin ETFs have recovered net inflows in earnest, attracting US\$1.97B between July 5 and July 17. These inflows have pushed the aggregate number of BTC held by US spot ETFs to a new all time high of over 900k BTC. This has been accompanied by an increase in CME open interest, which has risen back to 31.7k futures contracts (\$10.3B) after falling to a two-month low of 26.8k contracts in early July. That suggests institutional investors have been putting on the basis trade again following the end of German government BTC sales.

[Read full report](#)

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

[Watch now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

[Subscribe here →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2024 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland

www.coinbase.com

[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.